The implementation experience of VAT in India has been very encouraging —the new tax system has been received well by all the stakeholders, the transition being quite smooth.[16] The revenue performance of VAT—implementing states/UTs (25) has been encouraging the tax revenue registered, an increase of 13.8 per cent over the annual growth rate of the last five years.[17] Only 8 states claimed for VAT compensation from the Centre in 2005–06 which came down to only 5 in the fiscal 2006–07.

GOODS AND SERVICES TAX

The Goods and Services Tax (GST) is a proposal[18] of tax in India which will emerge after merging many of the state and central level indirect taxes. Important points of the proposed GST are as follows:

(i) It will be a tax collected on the VAT method—having all the benefits of a VAT kind of tax.

(ii) It will be imposed all over the country with the uniformity of rate and will replace multiple central and state taxes (a *single VAT* it will be known). The taxes to be withdrawn or merged into the GST are—

Central Taxes: CENVAT, service tax, sales tax and stamp duty.

State Taxes: State excise, sales tax, entry tax, lease tax, works contract tax, luxury tax, octroi, turnover tax and cess.

(iii) The proposed tax has a single rate of 20 per cent of which centre and state will have a share of 12 per cent and 8 per cent, respectively.

The Union Budget 2006–07 repeated its commitment towards inplementation of GST. The major challenges in the path of its implementation as per the experts are as follows:

(i) States are collecting VAT with five rates—0 per cent, 1 per cent, 4 per cent and 20 per cent. The fifth rate is 12.5 per cent known as the RNR (revenue neutral rate). Now the challenge is to convince the states to be satisfied with their share of only 8 per cent in the GST at one hand and making it politically happen from the consumers point of view.